

JPMorgan Chase & Co.

NYSE: JPM | Financials — Diversified Banks | 16 August 2026

REDUCE Fair value: \$323 | CMP: \$362.84 (14-Aug-2026) | Downside: -11.0%
(total return -9.2%)

Investment Summary

JPMorgan Chase is the best-run large bank in the world, and we are initiating coverage with a REDUCE. Nothing in this note disputes the franchise. The rating is a statement about price and about the durability of a return, not about quality.

The second quarter of 2026, reported on 14 July, was extraordinary on almost every measure. Net revenue of \$57.3 billion was up 28%. Net income of \$21.2 billion was up 41%. Return on tangible common equity was 29%. Every line of business set a revenue record, investment banking fees rose 30% to their highest level since 2021, and assets under management passed \$5 trillion.

Two things sit underneath those headlines. The first is that \$4.2 billion of after-tax gains — a \$4.6 billion net gain on the Visa Class B-2 exchange completed in May, plus \$1.0 billion on other equity investments — contributed \$1.56 of the \$7.70 reported earnings per share. Management says so plainly and leads with the adjusted figures: net income of \$16.9 billion, EPS of \$6.14, ROTCE of 23%. Against the first quarter's \$5.94, recurring earnings per share grew 3% sequentially, not 30%. The second is that the growth that remains is concentrated where it is least repeatable. Equity Markets revenue rose 86% year on year. Investment banking fees rose 30%. Net interest income excluding Markets — the annuity at the centre of the bank — grew 4%.

The problem is what the market has done with this. At \$362.84 the stock trades at 3.20 times tangible book value of \$113.35 and at 14.5 times consensus 2027 earnings, having risen 25% in a year and 9% in the past month to an all-time high. We value the company three ways. A five-year excess-return model on tangible book, with ROTCE fading from the current 22.5% to a terminal 18.5% against a 10.09% cost of equity, gives \$325. A justified price-to-tangible-book multiple of 2.59 times, derived from a normalised 19% ROTCE, gives \$309. Thirteen and a half times consensus 2027 earnings of \$25.01 gives \$338. Weighting these 50/30/20 gives \$323, about 11% below the market.

The clearest way to state the disagreement is to invert the multiple. At 3.20 times tangible book, a 10.09% cost of equity and 4.5% terminal growth, the market is capitalising a sustainable ROTCE of 22.4%. JPMorgan's own stated through-the-cycle target is 17% — a figure management asks investors to read as an outcome rather than a ceiling, and one the firm has exceeded in every quarter since at least the fourth quarter of 2023. Its actual ROTCE averaged 20.4% across 2021 to 2025, a period that included the most favourable rate cycle for banks in two decades. The market is not paying for the bank management describes, or even for the bank of the last five years. It is paying for the second quarter of 2026, extended indefinitely.

We should be explicit about what would make us wrong, because the bull case is not absurd. If JPMorgan sustains a 20.5% ROTCE with a 9.6% cost of equity — plausible if deregulation releases capital, if scale advantages keep widening, and if the equity risk premium stays compressed — the same three methods give \$432 and the rating is a BUY. That is the honest span. This is a call on whether a 22% return on tangible equity is a peak or a plateau, and reasonable people can take the other side of it.

Q2 FY2026 Results Review — Reported 14 July 2026

Reported net revenue was \$57.3 billion and managed revenue \$58.0 billion, up 27%, or up 15% excluding significant items. Net interest income was \$25.6 billion, up 10%; excluding Markets it was \$23.7 billion, up 4%, as higher deposit balances, higher revolving Card balances and higher wholesale loan balances were largely offset by lower rates. Noninterest expense of \$27.3 billion rose 15%, driven by revenue-related compensation and front-office headcount growth, leaving a managed overhead ratio of 47%.

The Commercial & Investment Bank produced \$9.7 billion of net income on \$24.9 billion of revenue, up 46% and 27%. Markets revenue of \$12.1 billion rose 35%, split between Fixed Income up 6% and Equities up 86%. Investment banking fees of \$3.3 billion rose 30%, and the firm holds the number one position in global investment banking fees with 9.3% wallet share year to date. Consumer & Community Banking earned \$5.3 billion, up 3%, on revenue of \$20.3 billion, up 8% — a steady, unspectacular result, with Card Services net charge-offs running at 3.34%. Asset & Wealth Management earned \$2.0 billion, up 33%, on 19% revenue growth, with \$50 billion of long-term net inflows.

Credit remains unremarkable in the best sense. The provision was \$2.5 billion against \$2.4 billion of net charge-offs and a \$149 million reserve build, concentrated in Wholesale. Capital is fortress-grade: a 14.1% standardised CET1 ratio on \$303 billion of CET1 capital, a 5.5% supplementary leverage ratio and \$590 billion of total loss-absorbing capacity. Book value per share of \$133.01 was up 9% and tangible book value per share of \$113.35 up 10%.

Snapshot

Market capitalisation	\$964.5 bn	Shares outstanding	2,658 m
Current price (14-Aug-2026)	\$362.84	52-week price change	+24.9%
Fair value (blended)	\$323	Downside to fair value	-11.0%
Dividend per share / yield	\$6.60 / 1.82%	Total expected return	-9.2%
Book value per share	\$133.01	Price / book	2.73x
Tangible book value per share	\$113.35	Price / tangible book	3.20x
FY2026E EPS (consensus, ex-items)	\$24.21	FY2027E EPS (consensus)	\$25.01
Forward P/E on FY2027E	14.5x	Peer average trailing P/E	14.3x
Q2 FY2026 ROTCE (reported)	29%	Q2 FY2026 ROTCE (ex-items)	23%
Stated through-cycle ROTCE target	17%	ROTCE implied by the price	22.4%
CET1 ratio (standardised)	14.1%	Total assets	\$5.0 tn
US 10-year Treasury	4.70%	Cost of equity	10.09%

Valuation

Banks are the one sector where a price-to-earnings multiple is actively misleading, because earnings in a good year are produced by a balance sheet that has not changed and a credit cycle that has. We therefore weight book-based methods at 80% and the earnings multiple at 20%.

The excess-return model starts from tangible book value per share of \$113.35 at 30 June 2026 and adds the present value of returns above the cost of equity. ROTCE is assumed at 22.5% in 2026 — the ex-items run-rate — fading to 18.5% by 2031, which sits above management's own 17% target and below the 20.4% five-year average. Tangible book compounds at ROTCE times a 45% retention rate, which reproduces the 10% growth actually delivered over the past year. The cost of equity is 10.09%, built from the US 10-year Treasury at 4.70%, a 5.5% equity risk premium and a five-year beta of 0.98. Terminal growth is 4.5%. The result is \$325: \$113 of tangible book, \$50 of present-value excess returns through 2030, and \$162 of terminal value.

The justified price-to-tangible-book method asks what multiple the franchise earns rather than what multiple it trades at. At a normalised 19% ROTCE, 4.5% growth and a 10.09% cost of equity, the justified multiple is 2.59 times. Applied to estimated December 2026 tangible book of \$119, that gives \$309. For context, the five large-cap peers average 2.54 times tangible book — Morgan Stanley 4.08, Goldman Sachs 3.13, Bank of America 2.18, Wells Fargo 1.92 and Citigroup 1.38. JPMorgan trades at a 26% premium to that, and at roughly 10% on forward earnings. It is worth being precise about what that does and does not show. JPMorgan is the second most expensive of six on tangible book, not the outlier: Morgan Stanley is 28% dearer, and Goldman now sits marginally below. Per point of return on tangible common equity JPMorgan is again second, behind Morgan Stanley. The stronger version of the valuation argument is therefore not against the peer group at all — it is against JPMorgan's own history, where 3.20 times sits at or through a ten-year high against a ten-year median nearer 2.0 times.

The forward earnings method applies 13.5 times to consensus 2027 EPS of \$25.01, giving \$338. We should be precise about what that multiple is relative to. On a consistent FY2026E basis the five-peer average forward multiple is 13.68 times, so 13.5 times is a marginal discount to the peer set, applied to the bank with the highest return on tangible common equity and the highest CET1 ratio in the group. It is a mildly punitive assumption rather than a generous one. What justifies it is a fact about growth rather than about quality: consensus expects 2027 earnings to grow 3.3%. The market is paying fifteen times FY2026E for a business the Street itself does not expect to grow next year.

Weighting the three at 50/30/20 gives \$323. Against \$362.84 that is an 11.0% downside; adding the 1.82% forward dividend yield gives a total expected return of -9.2%. The dividend is stated on the forward run-rate of \$6.60: the board raised the quarterly rate to \$1.65 from \$1.50 effective Q3 2026, announced 24 June alongside CCAR results and a new \$50bn repurchase authorisation from 1 July.

Ratings on this desk are set against the local risk-free rate rather than a fixed band. With the US 10-year at 4.70%, a BUY requires a total return above the 10.09% cost of equity, an ACCUMULATE above 6.70%, and a HOLD anywhere between zero and that hurdle. At -9.2% the call is comfortable under our assumptions but closer to the line under generous ones. One input carries it, and it should be stated plainly: the 10.09% cost of equity is built on a 5.5% equity risk premium, which is above both published benchmarks — Kroll recommends 5.0% and the premium implied by Damodaran market data at 1 August 2026 was 4.23%. The same three methods give \$323 at a 5.5% premium, \$348 at 5.0%, and \$399 at 4.23%, which would be a BUY. We use 5.5% because a market paying up for quality at a cyclical peak will also price risk cheaply, and adopting its own risk pricing to value it is close to circular — but that is a judgement, and a reader who takes the market-implied premium reaches the opposite conclusion on the same model. Beyond the discount rate the swings are smaller: terminal ROTCE at 20% gives \$337 and at 17% gives \$308; terminal growth at 5.0% gives \$336 and at 4.0% gives \$311; a 15 times target earnings multiple gives \$330. The full bull case at \$432 requires a 20.5% sustainable ROTCE and a 9.59% cost of equity together; the bear case at \$232 requires ROTCE reverting to 15.5% in a normal credit cycle.

Cross-Check Against Third-Party Views

We checked this call against independent sources before publishing, because a REDUCE on the highest-quality bank in the market at an all-time high deserves that scrutiny.

On the valuation, the most useful outside anchor is JPMorgan's own history. GuruFocus read the multiple at 3.27 times on 19 July against a ten-year median of 2.00 times; on our own numbers at the 14 August close it is 3.20 times. Either reading puts the stock roughly 60% above the multiple the market has assigned this same franchise, under the same chief executive, across a full decade. Their independently computed fair value is \$283.58, materially below our \$323. Against the sell-side, S&P Global's consensus target is \$374.57 from 24 analysts, of whom ten already rate the stock Hold and one moved to Sell this month. Our number sits between the two, closer to the sceptics. We are not the most bearish voice on this stock and we are not making an exotic argument.

On the earnings multiple we are not the generous party. On a consistent FY2026E basis the five-peer average forward multiple is 13.68 times, so our 13.5 times is a marginal discount rather than a premium, applied to the bank with the highest return on tangible common equity and the highest CET1 ratio in the group. Simply Wall St's 13.3 times peer average and 11.7 times industry average sit below ours, so on their numbers the fair value would be lower still. The bear case does not rest on an aggressive multiple assumption in either direction.

The strongest corroboration came from management. Asked about the quarter on the 14 July call, Jamie Dimon said it is “getting close to as good as it gets” and that he does not know how long it will last. He went further, calling the idea that operating leverage can rise indefinitely a “crazy notion” and saying he expects a slowdown in growth, possibly in 2027 or 2028. Fairness requires the other half of the exchange: pressed by Mike Mayo on whether he was calling a peak, Dimon described the market as “very healthy, active, exuberant” and added that it could get better, though he did not know how much better. He is declining to forecast rather than forecasting a decline, and the “crazy notion” remark is a defence of continued investment spending rather than a profit warning. Even read that way, consensus already models FY2027 EPS growth of 3.3%. The chief executive has guided to a slowdown; the Street has modelled a slowdown; the stock is at an all-time high on 3.20 times tangible book. Those three facts belong in the same sentence, and our note is essentially the observation that they are not currently reconciled.

The honest counterweight, reflected in our peer table, is that the competitive gap is narrower than the multiple gap implies. Bank of America earned a 17% ROTCE in the second quarter and Wells Fargo 17.7%, against JPMorgan's 23% excluding significant items. JPMorgan is better, clearly and consistently, and a 26% premium on tangible book is not obviously too much for that gap. We should also record where we sit against the sell-side: thirteen of twenty-four analysts rate the stock Buy or better, the consensus label is Buy rather than Hold, and every one of the five most recent published actions was a target increase — including a Deutsche Bank upgrade on 23 July and Wells Fargo moving to \$390 on 14 August, our own pricing date. Our \$323 sits below the \$305 low of the published range, which makes this note more bearish than the most bearish target on the Street.

Key Risks to Our View

We are wrong about the ceiling. JPMorgan has beaten its own 17% ROTCE target in every year since 2021. If scale, payments and the deposit franchise have structurally raised the return rather than temporarily flattered it, a 20%+ ROTCE is sustainable and the stock is cheap at \$362.

Deregulation releases capital, and this is further advanced than a risk section usually implies. The agencies re-proposed the Basel III endgame on 19 March 2026 on a capital-neutral basis, replacing the roughly 19% aggregate increase of the 2023 proposal; the Federal Reserve voted six to one and the comment period closed on 18 June. Taken with the parallel G-SIB surcharge proposal, the expected net effect on the largest banks is a small decrease in requirements, and the stress capital buffer has been frozen through 30 September 2027. With CET1 at 14.1% on \$303 billion, JPMorgan cleared the June stress test, raised the dividend 10% and authorised \$50 billion of repurchase. This is the single most credible argument against our rating and it is closer to base case than tail risk. Our forecast does not assume relief; if it arrives, ROTCE rises mechanically and the fade we have modelled does not happen.

Capital markets stay hot. Our fade assumes investment banking fees and Equity Markets revenue normalise. If the current M&A and issuance cycle runs for several more years, CIB earnings hold and the fade never happens.

Rates fall faster than expected. Net interest income excluding Markets grew only 4% and is already absorbing the impact of lower rates. A faster easing cycle would pressure the largest and most stable revenue line, which is a risk to our numbers as well as a risk to the bull case.

Credit is at a cyclical best. Card net charge-offs of 3.34% and a \$149 million reserve build reflect a benign consumer. A normal recession would take provisions well above the \$2.5 billion quarterly run-rate, and our bear case assumes exactly that.

Buybacks at 3.2 times tangible book. The firm repurchased \$6.2 billion of stock in the quarter. Above roughly two times tangible book, repurchases dilute book value per share even as they flatter earnings per share. This is a real cost of the current valuation, borne by continuing shareholders.

Company Overview

JPMorgan Chase & Co. is the largest bank in the United States by assets, with \$5.0 trillion of assets and \$375 billion of stockholders' equity at 30 June 2026 and 318,512 employees. It operates through three reportable segments. Consumer & Community Banking serves retail customers, small businesses and card holders and produced \$76.0 billion of revenue in 2025. The Commercial & Investment Bank, formed by the 2024 combination of the commercial bank and the corporate and investment bank, houses advisory, underwriting, markets, payments and securities services, and produced \$78.5 billion. Asset & Wealth Management runs \$5.1 trillion of assets under management and \$7.7 trillion of client assets and produced \$24.1 billion. Corporate holds treasury and the firm's principal investments. The firm has raised its dividend for fifteen consecutive years and has been led by Jamie Dimon as Chairman and Chief Executive since 2006.

Disclaimer

This report is personal and educational work produced by an independent student analyst. It is not investment advice, not a recommendation to buy or sell any security, and not a research report issued by a registered research entity. The author is not a SEBI-registered investment adviser and holds no position in the securities discussed. All figures are drawn from JPMorgan Chase's second-quarter 2026 earnings release of 14 July 2026, company filings, and market data from S&P Global Market Intelligence and Google Finance as at the close of 14 August 2026.

Valuation reflects the author's own assumptions and may be wrong. Readers should conduct their own research and consult a qualified adviser before making any investment decision.

JPMorgan Chase & Co. (NYSE: JPM)

Equity Research Model | Financials — Diversified Banks | Figures as of 14 August 2026

MARKET DATA

Current market price (US\$, 14-Aug-2026)	362.84
Previous close (US\$)	363.11
Market capitalisation (US\$ m)	964,500
Shares outstanding (m) — market cap / price	2,658
52-week price change (%)	24.9%
50-day moving average (US\$)	339.37
200-day moving average (US\$)	314.85
Beta (5-year)	0.98
Book value per share (US\$, 30-Jun-2026)	133.01
Tangible book value per share (US\$, 30-Jun-2026)	113.35
Price / book (x)	2.73
Price / tangible book (x)	3.20
Annual dividend per share (US\$, forward run-rate)	6.60
Dividend yield (%)	1.82%
Total equity (US\$ m, 30-Jun-2026)	374,600
Implied preferred stock (US\$ m)	21,033
Total assets (US\$ bn)	5,000
CET1 ratio — Standardised (%)	14.1%
Employees	318,512

Q2 FY2026 RESULTS (reported 14 July 2026)

Net revenue — reported (US\$ m)	57,347
Net revenue — managed (US\$ m)	58,022
Noninterest expense (US\$ m)	27,316
Provision for credit losses (US\$ m)	2,515
Net income — reported (US\$ m)	21,155
Net income — excluding significant items (US\$ m)	16,900
EPS — reported (US\$)	7.70
EPS — excluding significant items (US\$)	6.14
Significant items — EPS impact (US\$)	1.56
ROE — reported (%)	24%
ROTCE — reported (%)	29%
ROTCE — excluding significant items (%)	23%
Net interest income, managed (US\$ m)	25,600
Markets revenue (US\$ m)	12,100
Investment banking fees (US\$ m)	3,300
Assets under management (US\$ bn)	5,100
Card Services net charge-off rate (%)	3.34%

THE SIGNIFICANT ITEMS — WHY REPORTED Q2 OVERSTATES THE RUN-RATE

Q2 FY2026 net income of \$21.2bn included a \$4.6bn net gain on Visa Class B-2 shares exchanged in May 2026, plus \$1.0bn of gains on certain equity investments — \$4.2bn after tax, or \$1.56 of the \$7.70 reported EPS.

Management's own headline number excludes them: \$16.9bn of net income, \$6.14 of EPS, 23% ROTCE (not 29%).

Every valuation method in this model is built on the ex-items figures. Reported ROTCE of 29% is not a run-rate, and Equity Markets revenue up 86% year on year is not a base from which to extrapolate.

Valuation Summary — JPMorgan Chase & Co.

Three methods, stated blend. Rating anchored to the US 10-year Treasury

KEY INPUTS	
Current market price (US\$, 14-Aug-2026)	362.84
Tangible book value per share (US\$, 30-Jun-2026)	113.35
US 10-year Treasury yield (14-Aug-2026)	4.70%
Equity risk premium	5.5%
Beta (5-year)	0.98
Cost of equity = rf + beta x ERP	10.09%
Terminal growth rate	4.5%
Payout ratio used for tangible book roll-forward	55%
FY2026E EPS — consensus, ex-significant items (US\$)	24.21
FY2027E EPS — consensus (US\$)	25.01
Dividend per share (US\$)	6.60
Dividend yield	1.82%

METHOD 1 — EXCESS RETURN (RESIDUAL INCOME) ON TANGIBLE BOOK					
ROTCE Jokes from the ex-items 2026 run-rate toward a through-cycle level. Management's stated target is 17%.					
	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
ROTCE assumption	22.5%	21.0%	19.5%	18.5%	18.0%
Opening tangible book value per share (US\$)	113.35	124.83	136.62	148.61	160.98
Excess return per share (US\$) = (ROTCE - COE) x opening TBVPS	14.07	13.62	12.86	12.50	12.73
Discount factor	0.908	0.825	0.749	0.681	0.618
Closing tangible book value per share (US\$)	124.83	136.62	148.61	160.98	174.02
Present value of excess return (US\$)	12.78	11.24	9.64	8.51	7.87
Opening tangible book value per share	113.35				
PV of excess returns, FY2026E-FY2030E	50.03				
Terminal value of excess return = G24 / (COE - g)	261.81				
PV of terminal value	161.90				
EXCESS-RETURN FAIR VALUE (US\$)	325.28				

METHOD 2 — JUSTIFIED PRICE / TANGIBLE BOOK	
Justified P/TBV = (normalised ROTCE - g) / (COE - g). The multiple the franchise earns, not the one it trades at.	
Normalised through-cycle ROTCE	19.0%
Terminal growth rate	4.5%
Cost of equity	10.09%
Justified price / tangible book (x)	2.59
Tangible book value per share, Dec-2026E (US\$)	119.00
JUSTIFIED P/TBV FAIR VALUE (US\$)	308.68
Memo: price / tangible book the market is paying today (x)	3.20
Memo: ROTCE the current price implies, at this g and COE	22.4%

METHOD 3 — FORWARD PRICE / EARNINGS	
FY2027E EPS — consensus (US\$)	25.01
Target forward P/E (x)	13.50
FORWARD P/E FAIR VALUE (US\$)	337.64
Memo: peer-set average trailing P/E (BAC, WFC, C, GS, MS)	14.34
Memo: forward P/E the market is paying on FY2027E (x)	14.51

BLENDED FAIR VALUE AND RATING			
Method	Fair value (US\$)	Weight	
Excess return on tangible book	325.28	50%	
Justified price / tangible book	308.68	30%	
Forward price / earnings	337.64	20%	
Weights sum		100%	
BLENDED FAIR VALUE (US\$)	322.77		
Upside / (downside) to fair value	-11.0%		
Add: dividend yield	1.82%		
TOTAL EXPECTED RETURN	-9.2%		
Cost of equity (BUY hurdle)	10.09%		
Risk-free + 2pp (ACCUMULATE hurdle)	6.70%		
RATING	REDUCE		

Rating bands are anchored to the US 10-year Treasury at 4.70%, not to a fixed percentage band. BUY above the 10.09% cost of equity, ACCUMULATE above risk-free plus two points (6.70%); HOLD between zero and that hurdle; REDUCE below zero. The same test applied to an Indian name would use the 7.1% G sec and a 12.5% cost of equity.

SENSITIVITY — JUSTIFIED P/TBV FAIR VALUE (US\$) vs NORMALISED ROTCE AND COST OF EQUITY						
Normalised ROTCE \ Cost of equity	9.00%	9.50%	10.0%	10.50%	11.00%	
16.0%	304	274	245	228	211	
17.5%	344	309	277	258	238	
19.0%	383	345	309	288	265	
20.5%	423	381	341	317	293	
22.0%	463	417	373	347	320	

Shaded cell is the base case. The current price of \$362.84 requires the top-right of this grid.

SCENARIOS — BEAR / BASE / BULL			
	Bear	Base	Bull
Terminal ROTCE	15.5%	18.5%	20.5%
Normalised ROTCE (justified P/TBV)	16.0%	19.0%	21.0%
Cost of equity	10.59%	10.09%	9.59%
Terminal growth	4.0%	4.5%	5.0%
FY2027E EPS (US\$)	23.00	25.01	27.00
Target forward P/E (x)	11.50	13.50	15.50
Excess-return value (US\$)	228	325	448
Justified P/TBV value (US\$)	217	309	415
Forward P/E value (US\$)	265	338	419
BLENDED FAIR VALUE (US\$)	232	323	432
Upside / (downside)	-36.0%	-11.0%	19.1%
Total expected return	-34.2%	-9.2%	+20.9%
RATING	REDUCE	REDUCE	BUY

WHAT THE MARKET IS PRICING AT \$362.84	
Price / tangible book paid today (x)	3.20
ROTCE that multiple implies, at COE 10.09% and g 4.5%	22.4%
JPMorgan's stated through-cycle ROTCE target	17%
Actual ROTCE, FY2021-FY2025 average	20.4%
Q2 FY2026 ROTCE excluding significant items	23%
Forward P/E on FY2027E consensus EPS (x)	14.51
Consensus FY2027E EPS growth	3.3%

Income Statement — JPMorgan Chase & Co.

US\$ millions except per-share data. Fiscal year = calendar year. Source: company filings, S&P Global Market Intelligence.

	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26	FY2026E	FY2027E
Total net revenue	130,898	122,306	145,670	166,775	168,235	186,328	207,980	
Revenue growth		-6.6%	19.1%	14.5%	0.9%	10.8%	11.6%	
Net income (to co	46,503	35,892	47,760	56,868	55,681	63,634	67,530	
Net income growth		-22.8%	33.1%	19.1%	-2.1%	14.3%	6.1%	
Diluted EPS (US\$)	15.36	12.09	16.23	19.75	20.02	23.30	24.21	25.01
EPS growth		-21.3%	34.2%	21.7%	1.4%	16.4%	3.9%	
Profit margin	35.5%	29.3%	32.8%	34.1%	33.1%	34.2%	32.5%	
Dividend per share	3.80	4.00	4.10	4.80	5.80	6.00	6.37	
Payout ratio	24.7%	33.1%	25.3%	24.3%	29.0%	25.8%	26.3%	
Return on equity					17.0%	17.8%		
Return on tangible	23%	18%	21%	20%	20%			

QUARTERLY BRIDGE — WHY FY2026 LOOKS LIKE A STEP CHANGE

	Q2 FY2025	Q1 FY2026	Q2 FY2026	Q2 FY2026 ex-items
Net revenue (repor	44,912	49,836	57,347	52,747
Noninterest expens	23,779	26,850	27,316	27,316
Provision for credit	2,849	2,507	2,515	2,515
Net income	14,987	16,494	21,155	16,900
Diluted EPS (US\$)	5.24	5.94	7.70	6.14
Return on tangible	21%	23%	29%	23%

The \$4.6bn Visa Class B-2 exchange gain and \$1.0bn of equity-investment gains added \$1.56 to reported Q2 EPS.

Excluding them, EPS was \$6.14 against \$5.94 in Q1 — growth of 3% sequentially, not 30%.

Balance Sheet and Capital — JPMorgan Chase & Co

US\$ millions unless stated. Position as at 30 June 2026 unless noted.

BALANCE SHEET AND CAPITAL POSITION	
Total assets (US\$ bn)	5,000
Total stockholders' e	374,600
Implied preferred st	21,100
Common stockholde	353,500
Goodwill and intangi	52,300
Tangible common eq	301,200
Common shares outs	2,658
Book value per share	133.01
Tangible book value	113.35
Basel III CET1 capita	303,000
Standardised risk-wt	2,100
CET1 ratio — Standa	14.1%
CET1 ratio — Advan	14.2%
Supplementary lever	5.5%
Total loss-absorbing	590
Cash and marketable	1,500
Average loans (US\$ b	1,500

TANGIBLE BOOK VALUE PER SHARE — THE COMPOUNDING RECORD			
	Jun-2025	Mar-2026	Jun-2026
Book value per share	122.51	128.38	133.01
Tangible book value	103.40	108.87	113.35
Year-on-year growth in TBVPS			9.6%

CAPITAL RETURN — AND THE PRICE IT IS BEING RETURNED AT	
Quarterly common d	1.50
Annualised dividend	6.00
Q2 FY2026 net comn	6,200
Net payout ratio, las	73%
Dividend payout rati	25.8%
Buyback yield	3.57%
Total shareholder yi	5.22%
Share count change,	-3.57%
Price / tangible book	3.20

A dollar of buyback at 3.2x tangible book retires \$1.00 of market value and \$0.31 of tangible bo above roughly 2x tangible book dilute book value per share even as they flatter earnings per sh cost of the current valuation, and it is borne by continuing shareholders rather than by the selle

Segments and Returns — JPMorgan Chase & Co.

Net revenue by line of business, US\$ millions. Managed basis.

	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Consumer & Community Banking	49,879	54,814	70,148	71,507	76,029	78,709
Commercial & Investment Bank	61,951	59,635	64,353	70,114	78,454	87,485
Asset & Wealth Management	16,957	17,748	19,827	21,578	24,073	25,807
Corporate	-3,483	80	8,038	17,394	7,025	10,444
Eliminations	-3,655	-3,582	-4,262	-3,037	-3,134	-3,037
Total net revenue	121,649	128,695	158,104	177,556	182,447	199,408

Q2 FY2026 BY SEGMENT

	Net revenue	Noninterest exp.	Provision	Net income	Segment ROE
Consumer & Community Banking	20,272	11,108	2,156	5,311	34%
Commercial & Investment Bank	24,853	11,390	356	9,678	22%
Asset & Wealth Management	6,851	4,207	13	1,957	48%
Corporate	6,046	611	-10	4,209	
Firmwide	57,347	27,316	2,515	21,155	29%

WHERE THE Q2 GROWTH ACTUALLY CAME FROM (year-on-year revenue growth)

Equity Markets	86%
Investment Banking fees	30%
Markets — total	35%
Securities Services	17%
Asset & Wealth Management	19%
Payments	12%
Card Services & Auto	12%
Fixed Income Markets	6%
Banking & Wealth Management (CCB)	5%
Home Lending	3%
Net interest income excluding Markets	4%

The two fastest-growing lines — Equity Markets and investment banking fees — are the two most cyclical.

Net interest income excluding Markets, the annuity at the centre of the bank, grew 4%.

Peer Comparison — US Large-Cap Banks

Prices and multiples as at 14 August 2026. Source: S&P Global Market Intelligence.

Company	Ticker	Market cap (US\$ bn)	P / tangible book (x)	Trailing P/E (x)	Fwd P/E FY26E (x)	ROTCE (2Q26)
JPMorgan Chase	JPM	964.5	3.20x	15.57x	15.03x	23.0%
Morgan Stanley	MS	341.4	4.08x	17.56x	16.63x	26.6%
Goldman Sachs	GS	314.7	3.13x	16.08x	14.90x	25.5%
Bank of America	BAC	451.0	2.18x	14.90x	12.97x	17.0%
Wells Fargo	WFC	268.6	1.92x	12.91x	11.95x	17.7%
Citigroup	C	233.7	1.38x	15.15x	11.93x	13.0%
Peer average, excluding JPM			2.54x	15.32x	13.68x	20.0%
JPM premium / (discount) to peer average			+26.1%	+1.6%	+9.9%	

PEER SET. Five large-cap US money-centre and broker peers. On tangible book JPMorgan is the second most expensive of six, not the outlier; Morgan Stanley trades at 4.08x, 2.13x sits marginally below. The five-peer average is 2.54x and the premium 26%; a narrower three-name sample of BAC, C and GS would put it at 43%, which is why the wider JPM is again second behind Morgan Stanley. All forward multiples are FY2026E on a consistent basis; JPM on FY2027E is 14.51x and is not comparable to that column. Peer RO stated ex-significant items.

STREET POSITIONING — 24 ANALYSTS, S&P GLOBAL, AUGUST 2026

Average price target (US\$)	374.57
Median price target (US\$)	372.00
Low price target (US\$)	305.00
High price target (US\$)	420.00
Current price (US\$)	362.84
Consensus implied upside	3.2%
Strong Buy	9
Buy	4
Hold	10
Sell	1
This model's fair value (US\$)	322.77

RECENT ANALYST ACTIONS

Firm	Analyst	Rating	Price target (US\$)	Date
Wells Fargo	Mike Mayo	Buy		390 14-Aug-2026
Barclays	Jason Goldb	Buy		420 10-Aug-2026
Jefferies	David Chia	Hold		370 03-Aug-2026
UBS	Erika Naj	Buy		400 03-Aug-2026
Deutsche Bank	Matt O'Con	Buy		375 23-Jul-2026

Ten of twenty-four analysts rate the stock Hold and one rates it Sell — the first Sell in twelve months. The consensus target of \$374.57 sits 3% above the price. This is a Street that has run out of upside, not one that is enthusiastic. Our \$322.77 sits above the Street low of \$305 and below the median of \$372.

THIRD-PARTY CROSS-CHECK — INDEPENDENT VALUATION SOURCES

GuruFocus price / tangible boo	3.27
GuruFocus: JPM 10-year media	2.00
Premium of current P/TBV to i	64%
GuruFocus 'GF Value' estimate	283.58
This model's fair value (US\$)	322.77
S&P Global consensus target (U	374.57
Simply Wall St: US Banks indus	11.70
Simply Wall St: JPM peer-set av	13.30
This model's peer-set averag	14.34
Target forward P/E used in Me	13.50

Our \$322.77 sits between GuruFocus at \$283.58 and the sell-side consensus at \$374.57. On the earnings multiple we are on the target multiple we are marginally BELOW the five-peer average forward P/E of 13.68x (FY2026E basis), applied to the bank with the highest ROTCE and highest CET1 in uses. The bear case on this stock does not depend on an aggressive earnings multiple.

WHAT MANAGEMENT SAID ON THE Q2 2026 CALL (14 JULY 2026)

Jamie Dimon: "It's getting close to as good as it gets. We just don't know how long it's going to last."
Jamie Dimon: "When you have great returns and very good margins ... the notion that somehow you can forever increase your operating leverage is a crazy notion. I do think you might actually see a slowdown in growth, maybe a slowdown in 2027 or 2028."

Consensus expects FY2027 EPS growth of 3.3%. The chief executive has guided to a slowdown in 2027 or 2028. The stock trades at an all-time high on 3.20x tangible book. Those three facts belong in the same sentence.